

Value Recognition Basis Module (VRBM)

VRBM — Value Recognition Basis Module

Architecture Ecosystem: Structured Reality Standards™

Architecture Family: VFM® — Value Flow Mechanisms Architecture

Parent Standard: Value Recognition Standard (VRS)

Module: VRBM — Value Recognition Basis Module

Operational Layer: Value Recognition Basis Layer

Category: Governance & Enforcement

Subcategory: Value Lifecycle Governance

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Governed Space: Value Recognition Basis

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Canonical Definition

Value Recognition Basis Module (VRBM) is the second Core Module of the Value Recognition Standard (VRS) within VFM® — Value Flow Mechanisms Architecture.

VRBM governs the identifiable basis upon which an existing value may be considered for formal recognition against the recognition criteria established by VRCM — Value Recognition Criteria Module.

The Module establishes what information, observation, relationship, condition, capability, effect, measurement, evidence, or other support forms the basis for determining whether applicable recognition criteria are satisfied.

Its purpose is not to create value, establish value existence, define recognition criteria, or issue the final recognition determination.

Its function is narrower:

to establish the governed basis upon which recognition can be assessed.

This creates the methodological relationship:

Recognition Criteria → Recognition Basis → Recognition Determination

Architectural Position

VRBM operates within the fourth governed space of the VFM® lifecycle:

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development / Value Degradation → Value Nullification → Value Restoration / Value Extinction

Within the Value Recognition Standard, VRBM follows the establishment of recognition criteria and precedes the actual recognition determination.

Internal Module Flow

Existing Value → VRCM — Value Recognition Criteria → VRBM — Value Recognition Basis → VRDM — Value Recognition Determination → VRLM — Value Recognition Limitation → VRRM — Value Recognition Record → Recognized Value

The internal logic is:

What must be satisfied → What supports that assessment → What recognition determination follows → What limitations apply → How recognition is recorded

VRBM therefore provides the methodological bridge between recognition rules and recognition decisions.

Operational Space

VRBM governs the basis used to support, challenge, condition, or prevent recognition of existing value within a defined context.

A recognition basis may derive from:

observable effects; measurable outcomes; demonstrated capability; operational contribution; beneficiary benefit; resource availability; resource preservation; cost avoidance; efficiency improvement; productive capacity; strategic capability; technological capability; economic contribution; functional utility; realized benefit; documented relationships; comparative performance; temporal persistence; accessibility; usability; reproducible outcomes; governed evidence; other contextually relevant support.

The relevant basis depends upon the recognition context and the criteria established by VRCM.

VRBM does not prescribe one universal form of proof for all value.

Recognition Basis Principle

A recognition determination should not rest solely upon an unsupported assertion that something is valuable.

The basis for recognition must be identifiable.

The governing relationship is:

Existing Value + Recognition Criteria + Recognition Basis → Recognition Determination

The recognition basis answers:

What supports the conclusion that this existing value satisfies, fails to satisfy, or conditionally satisfies the applicable recognition criteria?

Basis Must Relate to Criteria

VRBM requires a traceable relationship between:

Recognition Criterion

and

Recognition Basis.

A large amount of information is not necessarily a relevant recognition basis.

The basis must address the criterion actually being assessed.

For example, if the criterion concerns:

measurable reduction in resource consumption,

relevant basis may include:

before-and-after resource consumption; controlled operational measurements; comparative execution results; documented avoided consumption; attributable efficiency effects.

Information concerning unrelated market popularity would not automatically satisfy that criterion.

Therefore:

Available Information $\neq$ Applicable Recognition Basis

Recognition Basis $\neq$ Recognition Criteria

VRCM determines what must be demonstrated.

VRBM determines what supports the assessment of whether it has been demonstrated.

For example:

Criterion: The capability must materially reduce operating cost.

Basis: Operational records demonstrate a recurring 18% reduction in the governed cost category after deployment.

These are methodologically distinct.

If criteria and basis are collapsed into one layer, organizations can silently change the recognition rule according to whatever information happens to be available.

VRBM prevents this.

Recognition Basis $\neq$ Recognition Determination

A strong recognition basis does not itself issue recognition.

The basis is evaluated by the subsequent VRDM — Value Recognition Determination Module.

Therefore:

Recognition Basis $\rightarrow$ Input to Determination

not:

Recognition Basis = Recognition

This distinction enables the same underlying basis to be examined consistently by different authorized systems, processes, or decision mechanisms.

Recognition Basis $\neq$ Value Existence

Value existence precedes recognition governance.

VRBM therefore does not determine whether the underlying value exists.

That architectural question belongs to the Value Emergence Standard (VES).

VRBM asks only what basis supports recognition of that existing value within the specified context.

Therefore:

Insufficient Recognition Basis $\neq$ No Value

An existing value may remain unrecognized because the basis required by a particular recognition system is unavailable, incomplete, inaccessible, or insufficiently established.

Recognition Basis ≠ Value Measurement

Recognition basis may include quantitative measurements.

But the existence of measurement does not mean VRBM governs value magnitude.

For example:

500 engineering hours avoided

may form part of a recognition basis.

Determining the full magnitude, economic significance, financial valuation, or market price associated with that effect may require another methodology or governance system.

Therefore:

Measured Effect ≠ Complete Value Measurement

Recognition Basis Types

A governed recognition system may distinguish several forms of basis.

1. Observational Basis

Recognition is supported by directly observable conditions, effects, states, or outcomes.

2. Measurement Basis

Recognition is supported by measurable changes, quantities, performance, resource effects, or other quantified relationships.

3. Operational Basis

Recognition is supported by demonstrated contribution to actual operations.

4. Capability Basis

Recognition is supported by an existing capability capable of producing a defined benefit.

5. Beneficiary Basis

Recognition is supported by an identifiable benefit to the relevant beneficiary.

6. Comparative Basis

Recognition is supported by comparison between alternatives, states, periods, systems, or configurations.

7. Evidential Basis

Recognition is supported by governed evidence produced through another applicable governance or evidential process.

8. Composite Basis

Recognition depends upon multiple basis types considered together.

These categories are not required to be exhaustive.

They provide a structured vocabulary for distinguishing how recognition is supported.

Direct and Indirect Recognition Basis

VRBM distinguishes:

Direct Recognition Basis

from

Indirect Recognition Basis.

A direct basis has a relatively immediate relationship to the recognition criterion.

Example:

Criterion: reduction of electricity consumption.

Direct Basis: verified electricity consumption decreased by 20% under comparable operating conditions.

An indirect basis supports recognition through an intermediate relationship.

Example:

new control capability → reduced machine idle time → reduced electricity consumption → operational benefit.

Indirect basis is not automatically weaker.

However, the relationship between the basis and the recognition criterion must remain explicit.

Internal and External Recognition Basis

Recognition basis may originate internally or externally.

Internal Basis may include:

operational records; internal measurements; production data; capability records; cost records; resource records; performance data; internal simulations; internal assessments.

External Basis may include:

market information; external measurements; independent assessments; public data; customer outcomes; external evidence; scientific observations; regulatory information; third-party analysis.

VRBM does not assume that external information is inherently superior to internal information.

The relevant question is whether the basis legitimately supports the recognition criterion within the defined context.

Actual and Prospective Basis

Recognition may concern value whose effects are already observable or value associated with a capability whose future benefit remains contextually relevant.

VRBM therefore distinguishes:

Actual Basis

from

Prospective Basis.

Actual basis derives from effects that have already occurred or are currently observable.

Prospective basis derives from a governed relationship between an existing capability and a future value-relevant effect.

Prospective basis must not be silently represented as realized benefit.

Therefore:

Expected Benefit $\neq$ Realized Benefit

Both may support recognition in appropriate contexts, but they must remain distinguishable.

Attribution Principle

Where recognition is based upon an observed benefit or effect, VRBM should establish whether the effect can reasonably be related to the governed value.

For example:

operating cost decreased

does not automatically establish:

the governed capability created the reduction.

Other factors may have contributed.

VRBM therefore requires the recognition basis to preserve material attribution conditions where relevant.

This may include:

causal relationship; contributory relationship; comparative relationship; temporal relationship; dependency relationship; beneficiary relationship.

VRBM does not need to establish universal causality.

It requires the claimed relationship supporting recognition to be explicit.

Counterfactual Basis

Some forms of value are most visible through what did not occur.

Examples include:

cost avoided; downtime prevented; energy not consumed; failure prevented; material waste avoided; capacity preserved; risk exposure reduced; engineering work eliminated; infrastructure expansion avoided.

These forms of benefit may require a counterfactual basis:

Observed or Expected State

compared with

Relevant Alternative State

VRBM permits counterfactual recognition basis where the comparison is sufficiently defined for the relevant recognition context.

This is particularly important because value does not always appear as a new asset, payment, or revenue stream.

Sometimes value appears as:

resources that no longer need to be consumed.

Basis Quality

VRBM does not reduce basis quality to a single universal score.

However, the recognition basis should be sufficiently characterized to determine whether it is suitable for the recognition context.

Relevant characteristics may include:

relevance; completeness; traceability; specificity; temporal relevance; representativeness; reproducibility; attribution strength; uncertainty; consistency; independence; accessibility; comparability.

The required quality depends upon the significance and purpose of recognition.

Basis Sufficiency

VRBM may determine whether the available basis is sufficiently established to proceed to recognition determination.

Possible basis states may include:

Established Basis

The basis required for assessment is sufficiently available and applicable.

Conditional Basis

The basis supports assessment only under explicitly defined conditions.

Partial Basis

Some required support exists, but material elements remain incomplete.

Conflicting Basis

Material supporting and opposing information coexist and require explicit treatment.

Insufficient Basis

The available basis does not sufficiently support a recognition assessment.

Unavailable Basis

The required basis cannot presently be established or accessed.

These states describe the recognition basis.

They do not determine the final recognition outcome.

Conflicting Recognition Basis

Recognition governance must preserve materially conflicting information.

For example:

operational records may indicate that a capability reduces cost,

while another dataset indicates that maintenance requirements eliminate much of the benefit.

VRBM should not discard one basis merely because it produces an inconvenient result.

Instead, the conflict should remain visible for VRDM — Value Recognition Determination Module.

Therefore:

Recognition Basis Governance includes supporting, limiting, and contradictory basis.

Temporal Basis

A recognition basis may weaken or become obsolete over time.

Examples include:

technology changes; operational conditions change; beneficiary needs change; market structure changes; resource scarcity changes; capability deteriorates; new information becomes available; the underlying value changes; recognition criteria change.

VRBM therefore requires material temporal applicability to remain identifiable.

A basis valid in one period should not automatically be treated as permanently applicable.

Multiple Recognition Contexts

The same existing value may have different recognition bases in different contexts.

For example, an AI optimization capability may have:

Operational Recognition Basis: measured reduction in process time.

Energy Recognition Basis: measured reduction in electricity consumption.

Strategic Recognition Basis: demonstrated capability unavailable to competitors.

Financial Recognition Basis: documented recurring cost reduction.

Collateral Recognition Basis: insufficient basis.

These different outcomes do not alter the existence of the underlying value.

They describe different relationships between the value and different recognition systems.

Basis Traceability

A governed recognition basis should remain traceable to its source.

Where relevant, the record should identify:

Value Reference → Recognition Context → Recognition Criterion → Basis Object → Basis Source → Basis Relationship → Basis Conditions → Basis Limitations → Basis State

This makes recognition reconstructable rather than dependent upon undocumented judgment.

Machine-Readable Recognition Basis

VRBM provides a structure suitable for machine-readable value recognition.

A machine-readable implementation may represent:

Value ID → Recognition Context ID → Criterion ID → Basis ID → Basis Type → Source → Observed / Prospective Status → Attribution Relationship → Temporal Applicability → Uncertainty → Basis State → VRDM Determination

This can allow AI, banking, enterprise, public-sector, infrastructure, and other systems to distinguish between:

a value claim

and

the basis supporting recognition of that value claim.

Boundary with VRCM

VRCM — Value Recognition Criteria Module establishes the criteria that must be satisfied.

VRBM — Value Recognition Basis Module establishes the basis used to assess those criteria.

Therefore:

Criteria = What must be demonstrated

Basis = What supports whether it has been demonstrated

Boundary with VRDM

VRBM does not issue the recognition determination.

VRDM — Value Recognition Determination Module evaluates the applicable criteria against the governed recognition basis and determines the recognition outcome.

Therefore:

Criteria + Basis → Determination

Boundary with VALIDOS®

VRBM does not replace general validation governance.

Where a recognition process requires formally validated evidence, VALIDOS® may govern whether that evidence is sufficiently validated for its intended reliance.

VRBM governs a different question:

What basis is being used for value recognition?

VALIDOS® governs:

Can a validation claim legitimately be established and relied upon?

The same evidence may participate in both systems while the governance questions remain distinct.

Boundary with ADIT®

VRBM may use audit evidence or auditable records as recognition basis.

It does not govern audit execution or general evidence governance.

ADIT® may establish what occurred and preserve evidence concerning it.

VRBM determines how that information functions as a basis for value recognition.

Boundary with INTEGROS®

VRBM does not govern general integrity.

Where the integrity of a recognition-basis object is material, INTEGROS® may govern its integrity properties.

VRBM governs the role of that object within value recognition.

Minimum Implementation Framework

A minimum VRBM implementation should establish:

1. Value Reference

Identify the existing value being considered for recognition.

2. Recognition Context

Identify the context within which recognition is being assessed.

3. Applicable Recognition Criteria

Receive the applicable criteria established through VRCM.

4. Basis Identification

Identify the information, observation, capability, relationship, effect, measurement, evidence, or other support relevant to those criteria.

5. Basis Source

Identify where the recognition basis originates.

6. Criterion-to-Basis Relationship

Establish which basis supports, challenges, limits, or conditions each criterion.

7. Attribution Relationship

Identify material relationships between the governed value and observed or expected benefit where relevant.

8. Basis Conditions and Limitations

Preserve material assumptions, conditions, uncertainty, temporal limits, and exclusions.

9. Basis State

Determine whether the recognition basis is established, conditional, partial, conflicting, insufficient, or unavailable.

10. Recognition Basis Record

Preserve the governed basis for downstream recognition determination.

Governance Outputs

VRBM may produce:

Value Recognition Basis Record
Recognition Basis Object Record
Recognition Basis Source Record
Criterion-to-Basis Mapping
Recognition Basis Type Classification
Direct / Indirect Basis Record
Actual / Prospective Basis Record
Attribution Relationship Record
Counterfactual Basis Record
Recognition Basis Condition Record
Recognition Basis Limitation Record
Recognition Basis Conflict Record
Recognition Basis State Record
Recognition Basis Traceability Chain

These outputs provide the governed input for VRDM — Value Recognition Determination Module.

Use Case 1 — Banking: Recognition of

Operational and Strategic Value

A bank assesses a company that has developed a proprietary automation platform.

The company claims that the platform represents substantial value.

The claim itself is not a sufficient recognition basis.

VRCM may already have established criteria such as:

material operational contribution; recurring economic benefit;

demonstrated capability; continued usability; beneficiary relevance.

VRBM then establishes the basis against those criteria.

The governed basis might include:

production time reduced by 27% → operational measurement basis

external software expenditure reduced by CHF 1.8 million annually → cost-avoidance basis

system deployed across 14 production locations → capability and operational basis

three years of recurring performance improvement → temporal persistence basis

continued dependence of critical workflows upon the platform → operational relevance basis

The bank can now distinguish:

“Management claims this technology is valuable.”

from:

“A defined recognition basis exists showing how this capability produces material value within the specified enterprise context.”

VRBM does not determine collateral eligibility, accounting recognition, market valuation, or credit treatment.

It provides a governed basis that those downstream systems may use according to their own rules.

Use Case 2 — Space Mission: Value Through

Avoided Resource Consumption

A space organization introduces a new mission-planning and simulation capability.

The organization believes the capability creates value because it reduces mission preparation cost and resource consumption.

VRCM establishes recognition criteria such as:

measurable resource reduction; preserved mission capability; avoided engineering workload; reduced simulation consumption; reduced physical testing; reduced fuel requirement.

VRBM establishes the recognition basis.

For example:

8,000 engineering hours avoided → labor-resource basis

35% fewer high-performance simulation executions required → computational-resource basis

two physical prototype test campaigns eliminated → avoided-testing basis

projected mission fuel requirement reduced within the governed mission configuration → mission-resource basis

The recognition basis can also preserve the relevant counterfactual:

mission preparation with the capability

versus

mission preparation without the capability.

The organization can therefore establish a governed basis for recognizing value created through non-consumption of resources.

This is important because no new physical asset necessarily appears.

The value may exist precisely because something costly no longer has to happen.

Enterprise Application

VRBM gives organizations a governed answer to a fundamental question:

What is the basis for saying that this existing value should be recognized?

This is applicable across banking, investment, enterprise management, public finance, infrastructure, AI, energy, manufacturing, science, digital systems, intellectual assets, resource optimization, government programs, and mission-critical operations.

It allows recognition systems to move from:

asserted value

toward:

basis-supported recognition.

More importantly, it allows different recognition systems to use different legitimate bases without redefining value itself.

The same value may have a strong operational basis, a partial financial basis, an insufficient collateral basis, and a strong strategic basis simultaneously.

VFM® can preserve all of those relationships without forcing them into one universal recognition outcome.

Foundational Principles

Recognition requires an identifiable basis.

Recognition basis does not create value.

Recognition basis is not recognition criteria.

Recognition basis is not recognition determination.

Insufficient recognition basis does not prove absence of value.

Available information is not automatically applicable recognition basis.

Recognition basis must remain connected to the criterion it is intended to support.

Expected benefit must remain distinguishable from realized benefit.

Supporting and contradictory recognition basis must both remain visible.

Value may be recognized through what is created, preserved, enabled, improved, or no longer needs to be consumed.

A value claim becomes governable when the basis supporting its recognition can be identified, related to explicit criteria, and reconstructed.

Canonical Closing Statement

Value Recognition Basis Module establishes the governed support layer of the Value Recognition Standard by defining the identifiable basis upon which existing value may be assessed against explicit recognition criteria. Through governance of basis identity, source, type, criterion relationship, attribution, direct and indirect support, actual and prospective effects, counterfactual comparison, conflicting information, temporal applicability, limitations, basis states, and traceability, VRBM prevents value recognition from resting solely upon unsupported assertion, institutional convention, or undocumented judgment. By separating recognition criteria from recognition basis and recognition basis from final recognition determination, VRBM creates a reconstructable methodological chain from existing value to recognition decision while preserving the foundational VFM® principle that insufficient recognition basis within one context does not establish that the underlying value does not exist.

Modul3

Governed Links

→ [Value Recognition Standard \(VRS\)](#)

→ [VFM® Architecture Map](#)

→ [Previous: Value Recognition Criteria Module \(VRCM\)](#)

→ [Next: Value Recognition Determination Module \(VRDM\)](#)

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